China Grid Tech: 2Q26 preview: Sieyuan pre-announced 2Q26 miss on delayed revenue and FX loss, reiterate Buy; lower EPS for Huaming

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Sieyuan (002028.SZ, Buy)

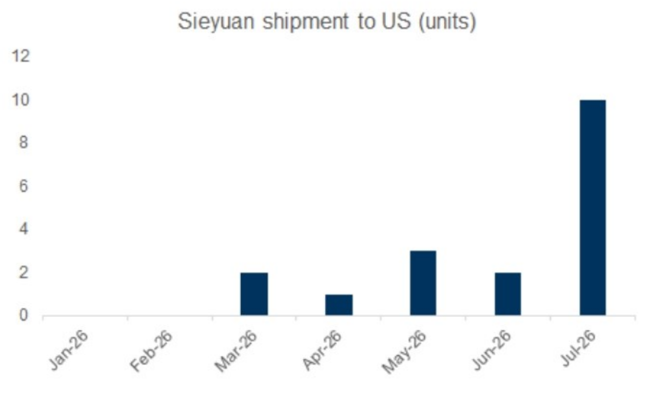
Post market close on July 10, **Sieyuan pre-announced 1H26 results that missed our expectations.** We cut our 2026-30E EPS forecasts by 8-11%, of which around 3-6% is attributable to delayed revenue recognition, 1-2% to lower operating leverage following the revenue delay, c.3% to FX losses in 2026E, and the remainder to higher minority interests after Toshiba increased its stake in the transformer JV. **Despite these revisions, we reiterate our Buy rating, as we view the earnings miss as largely timing- and FX-related rather than demand-driven, with order intake and product shipments remaining intact.** Looking ahead, we expect earnings to be back-end loaded in 2H26 as deferred overseas revenue is recognized, while the margin mix should improve on a higher contribution from North American transformers and UHV/EHV projects, offsetting the lower-margin EPC and ESS businesses. We remain constructive on Sieyuan's long-term opportunity in North America, where its agile supply chain and capacity expansion plans, which could support annual transformer production value of Rmb9-10bn, position it well to benefit from the transformer shortage, which we expect to ease gradually but persist through 2030E.

1H26 revenue came in at Rmb10,803mn, up 27% yoy, implying 2Q26 revenue of Rmb6,235mn, up 18% yoy and 8% below our forecast. However, **we do not believe the topline miss indicates weakening fundamentals,** as 2Q26 revenue growth of 18% yoy was well below the pace of underlying new order growth of 35% in 2025. According to the company, the shortfall was mainly caused by temporary delays in revenue recognition for certain overseas projects. For some overseas contracts, possibly including North American transformer projects, changes in contract and trade terms mean that control is transferred only after onsite installation or customer acceptance, rather than shortly after shipment. As a result, part of the revenue originally expected in 2Q26 has been deferred to 3Q26 and later periods. We therefore view the miss as a timing issue rather than a deterioration in demand. We now forecast 2026E revenue growth of 30% yoy, with growth accelerating to 35% yoy in 3Q26E and remaining strong at 30% yoy in 4Q26E as the delayed overseas revenue is recognized.

Near-term operations remain intact: We estimate 2Q26 new order growth remained broadly in line with 1Q26 at around 40% yoy, while product shipments continued as planned. Based on U.S. customs data, Sieyuan's transformer shipments to the U.S. increased from 2-3 units per month previously to around 10 units in July, with the corresponding North American revenue expected to be recognized in 3Q26E. According to ImportYeti, Sieyuan shipped power transformers to Edge Wave, Wayli, Hitachi Energy and Max Tech, while transformer arresters and circuit breakers were shipped to Sieyuan's U.S. subsidiary and B&K Industrial.

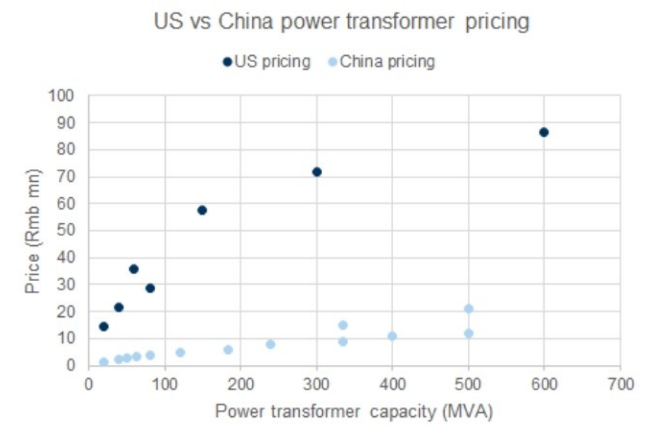
Gross margin recovered sequentially per the company, where we estimate a recovery of around 30.8% in 2Q26E from 29.0% in 1Q26, although still below the prior-year level. 1H26 GPM of around 30% largely reflects a business mix in which approximately 80% of revenue generated gross margins of around 35%, offset by lower-margin EPC and ESS businesses, which accounted for around 20% of revenue and operated at mid-teens margins. The contribution from the ESS business declined in 2Q26 versus 1Q26 as Sieyuan scaled down the ESS business. In addition, management has shifted its ESS strategy from prioritizing growth to emphasizing profitability, lowering the priority of securing new orders this year. Nevertheless, we continue to expect steady revenue recognition from orders signed last year. Meanwhile, a higher contribution from North American shipments and the initial recognition of UHV and EHV projects from 3Q26 onward should support further sequential gross margin improvement.

Exhibit 1: Sieyuan's shipments to the US accelerated to 10 units in July, which will more likely be recognized in 3Q26E



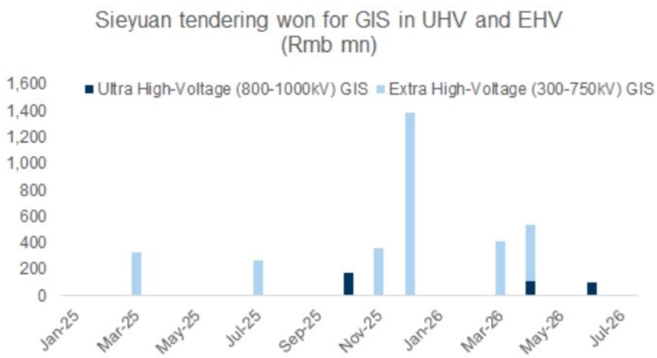
Source: ImportYeti, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: ... where we estimate transformers (likely c.300MVA) to be priced at c.US$10mn/c.Rmb70mn each



Source: Expert estimates, State Grid

Exhibit 3: Sieyuan will start to recognize more UHV and EHV GIS revenue, which are high-margin businesses, starting from 3Q26E



Source: State Grid, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: Sieyuan is trading at 28X 12-m forward P/E, slightly above its past 10-year average of 24X, but has significantly rerated from the peak of 44X.
Sieyuan 12-m forward P/E

Source: Company data, Goldman Sachs Global Investment Research

The key drag on earnings was foreign-exchange losses. The company recorded more than Rmb100mn of FX losses in 1H26, compared with FX gains in the same period last year, creating a meaningful year-on-year swing in reported profit. By contrast, the impact from Toshiba raising its stake in the JV with Sieyuan to 30% was relatively limited.

Earnings and TP changes: We revise down 2026-30E revenue by 3-6% and net income by 8-11% to reflect the elongated revenue recognition, FX loss, and minority interest change due to Toshiba's increased JV stake. Accordingly, our TP is revised down to Rmb203.7 (vs Rmb223.9 previously), still based on 25X 2028E P/E discounted back to 2026E with 9.5% CoE. Maintain Buy.

Huaming (002270.SZ, Neutral)

2Q26 preview: We forecast 2Q26 sales/GP/EBIT/NP at Rmb625mn/341mn/216mn/191mn (+4%/+0%/-5%/-3% yoy). We do not expect a meaningful revenue growth acceleration in 2Q26 compared to the -1% yoy decline in on-load tap changer revenue in 1Q26, for three reasons: First, the company already holds a dominant market share in the domestic grid segment, limiting its ability to outpace overall industry growth. Second, off-grid demand remains weak, with no clear signs of recovery. Third, although China transformer export industry growth has remained resilient, reaching 27% yoy in April and 72% yoy in May according to China Customs, the certification process for on-load tap changers still needs to be completed with end customers (i.e., global grid operators). As a result, export growth for tap changers is likely to lag transformer exports. The certification process is lengthy and requires building customer trust over time, particularly given that these components are not in global supply shortage.

Although the stock has corrected 54% from the peak, we still think it is relatively fair valued, with the stock price correction reflecting an expectation reset (from a potentially fast share gain pace to a steady pace of share gain given the component is not in shortage). The stock is trading at 21x 12-m forward P/E, against 17% 2026-30E EPS CAGR, lacking catalysts for both revenue acceleration and valuation rerating. We suggest investors wait for a more attractive valuation to turn more positive on the stock.

Earnings and TP changes: We maintain our Neutral rating, while lowering our 2026-30E revenue and EPS forecasts by 2%-8% and 2%-10%, respectively, as we reset our market share gain pace expectations against the backdrop of a lack of OLTC shortage. Accordingly, our TP is revised down to Rmb23.9 (vs Rmb26.1 previously), still based on 22x 2028E P/E discounted back to 2026E with 9.5% CoE.

Investment thesis, valuation methodology and risks

Sieyuan (002028.SZ, Buy)

Sieyuan is a Chinese grid equipment company, ranking among the top 1-3 in various product categories with the State Grid. With recognized exceptional product quality and operational excellence, we expect Sieyuan's export revenue to grow at a 43% CAGR in 2025-2030E driven by the global grid upgrade cycle due to aged infrastructure, economy development, renewable energy and Sieyuan's market share gain in switchgear/power transformers from 6%/1% in 2025 to 8%/6% in 2030E. In particular, Sieyuan has made breakthroughs with US data center operators due to the supply shortage in power transformers, hence we expect its US revenue to take up 26%-30% of overseas revenue over 2026E-28E, and higher profit contribution helping with firmwide margin uplift. We think there is visibility for global power transformer supply shortage at least into 2030E and global grid upgrade into at least 2040E-2050E. We like its unique positioning because we believe only a few Chinese companies can combine high quality with a long-term commitment to navigating rigorous certification processes, making sustained upfront investments, and establishing a proven track record overseas - areas where Sieyuan excels in our view.

Price target risks & methodology: Our TP is Rmb203.7, based on 25x 2028E P/E discounted back to 2026E with 9.5% CoE. **Key downside risks:** (1) Overseas execution risk; (2) Margin may come below our expectations; (3) Slowdown in data center construction pace.

002028.SZ	12m Price Target: Rmb203.7	Price: Rmb151.73	Upside: 34.3%

Buy	GS Forecast				
		12/25	**12/26E**	**12/27E**	**12/28E**
Market cap: Rmb117.4bn / $17.3bn	**Revenue (Rmb mn) New**	**21,539.0**	**28,005.1**	**35,605.8**	**43,107.7**
Enterprise value: Rmb112.3bn / $16.6bn	Revenue (Rmb mn) Old	21,539.0	28,760.3	37,402.4	45,659.5
3m ADTV :Rmb2.5bn/ $368.4mn	EBITDA (Rmb mn)	3,873.1	5,000.5	6,637.6	8,386.4
China	**EPS (Rmb) New**	**4.03**	**5.10**	**7.10**	**8.92**
China Industrial Tech & Machinery	EPS (Rmb) Old	4.03	5.73	7.75	9.80
	P/E (X)	23.1	29.7	21.4	17.0
M&A Rank: 3	P/B (X)	4.7	6.3	5.1	4.2
Leases incl. in net debt & EV?: Yes	Dividend yield (%)	0.8	0.7	1.0	1.4
	CROCI (%)	33.2	30.7	34.7	35.6
		12/25	**3/26E**	**6/26E**	**9/26E**
	EPS (Rmb)	1.23	0.70	1.20	1.41

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Jul 2026 close.

Exhibit 5: Sieyuan earnings change summary

Sieyuan		2026E	2027E	2028E	2029E	2030E
Revenue (new)	**Rmb mn**	**28,005**	**35,606**	**43,108**	**51,493**	**59,971**
Previous	Rmb mn	28,760	37,402	45,660	54,482	63,404
vs. Previous	%	-2.6%	-4.8%	-5.6%	-5.5%	-5.4%
EBIT (new)	**Rmb mn**	**4,404**	**5,858**	**7,387**	**9,111**	**10,956**
Previous	Rmb mn	4,536	6,172	7,842	9,713	11,887
vs. Previous	%	-2.9%	-5.1%	-5.8%	-6.2%	-7.8%
Net Income (new)	**Rmb mn**	**3,989**	**5,555**	**6,979**	**8,594**	**10,338**
Previous	Rmb mn	4,481	6,059	7,668	9,467	11,529
vs. Previous	%	-11.0%	-8.3%	-9.0%	-9.2%	-10.3%

Source: Company data, Goldman Sachs Global Investment Research

Huaming (002270.SZ, Neutral)

Investment thesis: Huaming Power Equipment is China's dominant supplier of on-load tap changers (OLTC), with 90% domestic market share by volume (as of 2025E), and is increasingly expanding into overseas markets where margins are structurally higher. With roughly on-par product quality with Germany's Maschinenfabrik Reinhausen (MR), much cheaper price and faster product supply, supported by new overseas factories in Turkey and Indonesia, we believe Huaming can ramp up from 13% global market share in 2025E to 18% by 2030E, with overseas revenue reaching 53% of firmwide revenue. We expect 2025E-2030E revenue/net profit to deliver 13%/15% CAGR, with dividend yield at 2% in 2026E. However, given that tap changers are such a critical component, and take a long time for certification, in our view, US exposure won't meaningfully grow for Huaming in the near term. We believe the share price has temporarily run ahead of earnings hence rate it Neutral.

Price target risks & methodology: Our TP isRmb23.9, based on 22x 2028E P/E discounted back to 2026E with 9.5% CoE. **Key upside/downside risks:** (1) Better/worse-than-expected overseas share gain; (2) Better/worse-than-expected margin profile; (3) Better/worse-than-expected domestic revenue growth.

002270.SZ	12m Price Target: Rmb23.9	Price: Rmb18.19	Upside: 31.4%

Neutral	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: Rmb16.2bn / $2.4bn	**Revenue (Rmb mn) New**	**2,426.8**	**2,615.0**	**3,001.4**	**3,419.1**
Enterprise value: Rmb15.7bn / $2.3bn	Revenue (Rmb mn) Old	2,426.8	2,664.6	3,114.0	3,608.5
3m ADTV :Rmb492.2mn/ $72.4mn	EBITDA (Rmb mn)	856.6	1,017.3	1,172.3	1,349.3
China	**EPS (Rmb) New**	**0.79**	**0.87**	**1.02**	**1.19**
China Industrial Tech & Machinery	EPS (Rmb) Old	0.79	0.89	1.06	1.30
	P/E (X)	23.7	20.8	17.9	15.3
M&A Rank: 3	P/B (X)	5.4	4.8	4.5	4.1
Leases incl. in net debt & EV?: Yes	Dividend yield (%)	3.2	3.4	3.9	4.6
	CROCI (%)	27.4	22.7	24.2	26.4
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.72	0.84	0.96	0.93

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Jul 2026 close.

Exhibit 6: Huaming earnings change summary

Huaming		2026E	2027E	2028E	2029E	2030E
Revenue (new)	**Rmb mn**	**2,615**	**3,001**	**3,419**	**3,881**	**4,426**
Previous	Rmb mn	2,665	3,114	3,608	4,156	4,799
vs. Previous	%	-1.9%	-3.6%	-5.2%	-6.6%	-7.8%
EBIT (new)	**Rmb mn**	**896**	**1,046**	**1,217**	**1,398**	**1,652**
Previous	Rmb mn	917	1,091	1,334	1,562	1,812
vs. Previous	%	-2.3%	-4.1%	-8.7%	-10.5%	-8.9%
Net Income (new)	**Rmb mn**	**784**	**912**	**1,065**	**1,226**	**1,450**
Previous	Rmb mn	802	951	1,164	1,367	1,591
vs. Previous	%	-2.2%	-4.1%	-8.5%	-10.3%	-8.8%

Source: Company data, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

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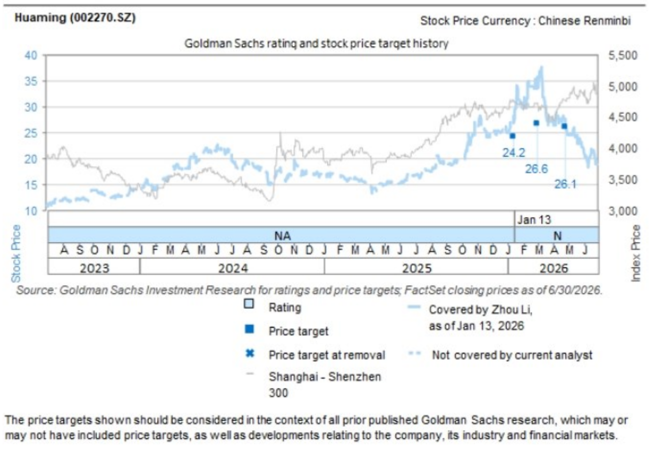

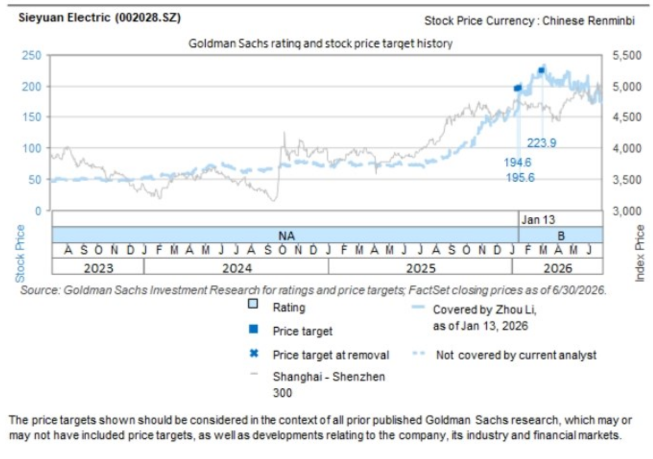

Target price history table(s)

Sieyuan Electric (002028.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
03-Mar-26	223.90	219.40
19-Jan-26	195.60	204.49
13-Jan-26	194.60	162.33

Huaming (002270.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
27-Apr-26	26.10	26.69
01-Mar-26	26.60	33.60
13-Jan-26	24.20	28.28

Price targets shown in table(s) are unadjusted for corporate actions.

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